

SECURITIES AND EXCHANGE BOARD OF INDIA

OFFICIAL REGULATORY NOTIFICATION - STATUTORY TEXT

SEBI (INTERMEDIARIES) REGULATIONS, 2008 - SCHEDULE III CODE OF CONDUCT

[Schedule III Clause 1] High standard of integrity and fairness

An intermediary shall observe high standards of integrity, the highest degree of diligence, and fair conduct in the conduct of all its business transactions with investors and fellow intermediaries.

[Schedule III Clause 3] Avoidance and mitigation of conflict of interest

An intermediary shall avoid conflict of interest and make adequate disclosures of its interest to clients. It shall put in place an effective information barrier (Chinese Wall) between dealing, research, corporate finance, and proprietary trading desks.

[Schedule III Clause 6] Confidentiality of client information

An intermediary shall maintain strict confidentiality in respect of information relating to its clients and shall not disclose or leak client orders or positions to third parties except when required under statutory or judicial directions.

[Schedule III Clause 9] Prohibition of Churning and Inducement

An intermediary shall not encourage or indulge in excessive execution of client orders solely for generating brokerage fees (churning), nor shall it induce a client to make purchases or sales without reasonable justification.
